

Sector Underwriting Note: Light Engineering

Credit Policy Document: Ashva Capital Internal Policy

Sector-Specific Underwriting Note: Light Engineering SME Lending

1. Introduction

Ashva Capital will consider extending Light Engineering SME loans to companies involved in the design, manufacture and sale of components or machinery. This sector underwriting note outlines the sector-specific underwriting requirements and risk considerations.

2. Typical Working Capital Cycle

The typical working capital cycle for a Light Engineering SME is 120-180 days, with a peak usage period between 60-90 days prior to the end of the financial year.

3. DSCR Floor

The DSCR (Debt Service Coverage Ratio) floor for Light Engineering SMEs is 1.3x, which is higher than the standard 1.25x DSCR floor. This reflects the sector's relatively stable cash flow profile and low volatility.

4. Seasonality Adjustments

Light Engineering SMEs are subject to a 10% increase in risk due to seasonality, reflecting the typical increase in production and sales during the first quarter of each year.

5. Distress Causes

The two most common causes of distress in Light Engineering SMEs are:

- a. Delays or cancellations of major orders due to market fluctuations or changes in customer demand.
- b. Production quality issues or regulatory non-compliance leading to costly rework or equipment replacement.

6. Collateral Types

Ashva Capital will accept the following collateral types for Light Engineering SME loans:

- a. Equipment and machinery, valued at 30% of the loan amount.
- b. Real estate, valued at 20% of the loan amount.
- c. Inventory, valued at 15% of the loan amount.

7. Maximum Exposure

The maximum exposure Ashva Capital will hold in the Light Engineering SME sector is 15% of the total book.

8. Underwriting Thresholds

The following underwriting thresholds will be applied to Light Engineering SME loans:

- a. Minimum revenue: \$10 million (USD).
- b. Maximum loan amount: \$5 million (USD).
- c. Maximum debt-to-equity ratio: 3.5x.

d. Minimum interest coverage ratio: 2.5x.

9. Exception

Companies led by founders with 5+ years of experience in the Light Engineering sector will be eligible for a 5% increase in the loan amount, up to a maximum of \$5.5 million (USD).